



Built to Last

Successful Habits of Visionary Companies

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The Big “So What”



The book focuses on **timeless success principles that can be learned from visionary companies**. Unlike individuals, organizations can transcend time and generations. Although most of the companies in the book are American corporations, **the authors have since verified that the principles work across countries, cultures and different organization types** e.g. corporations, NGOs etc. The findings **debunked many myths about successful companies, and the insights can be applied by anyone**, be it CEOs, managers, or entrepreneurs.

Introduction



The findings came from **6 years of extensive research of 18 Visionary Companies, compared to 18 Comparison Companies**. As of the end of 1990, the Comparison Companies did twice as well as the stock market since 1926, while the Visionary Companies did 15 times as well as the stock market. Visionary Companies are :

- Premier institutions in their industries.
- Widely admired by knowledgeable business individuals.
- Have made an indelible impact on the world.
- Had multiple generations of chief executives.
- Have been through multiple product/ services life cycles.
- At least 50 years old.



The findings include **not just success factors of visionary companies, but also 12 myths about great companies**. Some of the Visionary Companies include: 3M (vs Norton), American Express (vs Wells Forge), Boeing (vs Douglas Aircraft), Citicorp (vs Chase Manhattan), Hewlett Packard (vs Texas Instruments), Marriott (vs Howard Johnson), Proctor & Gamble (vs Colgate), and Walt Disney (vs Columbia Pictures).

KEY QUOTES

“Just about anyone can be a key protagonist in building an extraordinary business institution. The lessons of these companies can be learned and applied by the vast majority of managers at all levels.”

“Visionary companies are premier institutions – the crown jewels – in their industries, widely admired by their peers and having a long track record of making a significant impact on the world around them.”

Clock-Building, Not Time-Telling



Myths debunked:

1. You do not need a great idea to start a great company.
2. You do not need great and charismatic visionary leaders.



Visionary companies' long-term successes do not come from a great idea nor a charismatic, visionary leader. Rather, they are successful because of strong foundations embedded in the organizations that allow them to prosper beyond leaders and product life cycles – **the winning creation is the company itself, not the leaders, products or services.**



Myth of the Great Idea

Only 3 of the 18 visionary companies studied began with a specific, innovative and highly successful “great idea”. Hewlett Packard founders tried everything from automatic urinal flushers to fat-reduction shock machines; 3M was in such bad shape that its second president did not draw a salary for his first 11 years in office. In fact, Collins & Porras found a **negative correlation between early entrepreneurial success and becoming a highly visionary company.** Most visionary companies start off slow, but win in the long run.

Their ultimate creation is the company itself. Focusing on the company rather than a specific idea or a unique market opportunity provides a critical shift in thinking and focus, away from specific product lines and market strategies, to **organizational design. This builds enduring institutions that outlive specific product lines.** Outstanding organizations produce an ongoing stream of products and services, not vice versa.

KEY QUOTES

“Like the parable of the tortoise and the hare, visionary companies often get off to a slow start, but win the long race.”

“It might be better to not obsess on finding a great idea before launching a company. Why? Because the great-idea approach shifts your attention away from seeing the company as your ultimate creation.”

“Be prepared to kill, revise or evolve an idea, but never give up on the company.”



Myth of the great and charismatic leader

Having a charismatic leader is great, but totally unnecessary, in shaping a visionary company. Many of the founding leaders behind visionary companies (e.g. William McKnight of 3M, Masaru Ibuka of Sony, Bill Hewlett of HP, Bill Allen of Boeing) were not high-profile nor charismatic leaders. **What makes them successful is their focus on building the foundations of the institution. They are “clock builders”, not “time-tellers”.**

Genius of the “AND”, not “Tyranny of the OR”



Myth debunked: You can have your cake and eat it.

Visionary companies do not limit themselves to the “Tyranny of the OR” e.g. stability OR change, low cost OR high quality. Instead, **they find ways to embrace both extremes of various dimensions** e.g. profits AND purpose, conservative AND bold, ideological control AND autonomy. **They go beyond mere balance or compromise, to excel at both extremes.**

More Than Profits



Myth debunked: Visionary companies do not focus on maximizing profits or shareholder value.



Core Ideology

Visionary companies pursue a cluster of objectives, of which money is only one component. They understand that profitability is necessary for the organization to exist and fulfil its purpose, but they are much more than profits. They pursue both profits and ideology.

A Core Ideology = Core Values + Purpose

KEY QUOTES

“A charismatic visionary leader is absolutely not required for a visionary company... They concentrated more on architecting an enduring institution than on being a great individual leader.”

“The test of a first-rate intelligence is the ability to hold two opposed ideas in the mind at the same time, and still retain the ability to function.”
- F. Scott Fitzgerald

“A group of people get together and exist as an institution that we call a company so they are able to accomplish something collectively that they could not accomplish separately”
- David Packard, HP

Core values are the organization's essential and enduring tenets and guiding principles. There are usually 3-6 key values, which **must be authentic to the company (and not externally derived)**. They are different from cultural or operating practices, and must not be swayed or compromised for financial gain or short term expediency.

Purpose is the organization's fundamental reasons for existence beyond making money. It acts as a beacon **to guide and inspire employees**, and need not necessarily be unique or differentiated. Unlike business goals or strategies, a purpose is continually pursued but never fully accomplished. **For example, Marriott's purpose is to "make people away from home feel that they're among friends and really wanted".**



Deeds, not Words

Myth debunked: There's no set of common "right" core values.

Collins & Porras found that there was no fixed set of core values that were adopted by all the visionary companies. The content or "likeability" of the company's ideology are not the key to success. Rather, **it is the depth to which the company believes in its core ideology, and uses it to guide and inspire its people, that makes the difference.**

Visionary companies are not perfect; they also struggle to keep their ideologies alive, and they sometimes falter - their commitment to their ideology makes them endure through the challenges. Some visionary companies also took several years before they established a firm ideology is established, though the authors recommend that this be done as soon as possible.

KEY QUOTES

"Profit is like oxygen, food, water, and blood for the body; they are not the point of life, but without them there is no life."

"The authenticity of the ideology and the extent to which a company attains consistent alignment with the ideology counts more than the content of the ideology."

"Visionary companies do not ask, 'What should we value'. They ask, 'What do we actually value deep down to our toes?'"

Preserve the Core, Stimulate Progress



Myth debunked: Change is not the only constant; The core ideology is anchored firmly In the organization.

A visionary company has a **relentless drive for progress**, which is a deeper human need to explore, create, discover, achieve and improve. It is however **concurrently ideological and progressive**, i.e. it adapts without compromising its core ideals.

Like ideology, **the drive for progress is an internal force, and comes with a blend of self-confidence and self-criticism**. The self-confidence allows the company to set audacious goals and make bold moves (even if it is against industry convention) without worrying about external justifications. The self-criticism ensures the company initiates changes and improvements before the outside world demands it.

There's an ongoing dynamic interplay between the core and progress, and the visionary company embraces both successfully. They do not confuse their core ideals (which should be firmly anchored) with specific, noncore practices which are mere manifestations of the core ideology (and should change and evolve with time). For example, 3M's "respect for individual initiative" is permanent and unchanging, while giving employees 15% of their time to work on projects of their choice is a non-core strategy that can change.

It is not enough to just have a strong ideology and drive. **Visionary companies translate them into concrete, tangible mechanisms that are deeply infused into the organization**, i.e. they are clock-builders that build mechanisms that preserving the core and stimulate progress. For example, Walt Disney created its Disney University and compulsory "Disney Traditions" seminars to inculcate these elements into all employees.

KEY QUOTES

"There is a difference between merely having a goal and becoming committed to a huge, daunting challenge."

"Core ideology and the drive for progress exist together in a visionary company like yin and yang of Chinese dualistic philosophy; each element enables, complements and reinforces the other."

"Like a persistent and incurable itch, the drive for progress in a highly visionary company can never be satisfied under any conditions, even if the company succeeds enormously."



Visionary companies build tangible mechanisms in 5 key ways:

1. Big Hairy Audacious Goals (BHAGs)



Myth debunked: Blue-chip companies don't always play it safe. They embrace BHAGs at crucial junctures.

BHAGs ("bee-hags") are a powerful mechanism to stimulate progress. For example, General Electric's BHAG is "become #1 or #2 in every market we serve and revolutionize this company to have the speed and agility of a small enterprise."

Good BHAGs:

-  Are clear and compelling – they require little or no explanation.
-  Are aligned with the core ideology (i.e. preserve the core).
-  Are constantly replaced by another, once they are achieved.
-  Come with a high level of goal commitment, despite apparent risks.
-  Fall well outside the comfort zone, and are backed by the "hubris factor" – people in the organization believe they can pull it off, even if it seems impossible to people outside the organization.
-  Are so bold and exciting in their own right, they can outlive any single generation of leaders.

2. Cult-like Cultures



Myth debunked: Visionary companies are not necessarily great places to work for every one. Because they are so clear about who they are and what they seek to achieve, only those who fit with the core ideology and standards find it a great place to work. Those who don't fit will be ejected. "It's a binary. There's no middle ground."

KEY QUOTES

"It is absolutely essential to not confuse core ideology with culture, strategy, tactics, operations, policies, or other noncore practices... Ultimately, the only thing a company should not change over time is its core ideology – that is, if it wants to be a visionary company."

"The BHAGs looked more audacious to outsiders than to insiders. The visionary companies didn't see their audacity as taunting the gods. It simply never occurred to them that they couldn't do what they set out to do."

"It's a binary: You're either in or you're out, and there seems to be no middle ground."

Visionary companies preserve their zealously-held ideology in specific, tangible ways, including:



Indoctrination, e.g. orientation and training programs, internal “universities”, unique language and terminology, myths and stories



Tight fit, e.g. Tight screening processes, recognition, incentives and advancement criteria aligned with core ideals



Elitism, e.g. celebrations that reinforce successes, belonging and specialness

For example, all Nordstrom employees are called Nordies. Candidates are closely interviewed and heavily indoctrinated. Everyone works from bottom up, the company structure is presented upside down with

customers and sales and sales support people at the top and Board of Directors at the bottom, everyone puts customer service first and they have exacting personal and professional standards with coveted rewards and recognition for top achievers.

3. Experiment a lot and keep what works



Myth debunked: Visionary companies do not succeed because of brilliant and complex strategic planning. They make some of their best moves by trial-and-error, opportunism and even accident.

Visionary companies do plan, but **many of the best moves came from experimentation, trial and error, opportunism and accident**. For example. Johnson & Johnson moved into consumer products by accident after the talc they provided with their medicated plasters became a hit with customers.

The organizations **behave like evolving species and demonstrate evolutionary progress**. Unlike BHAGs, this involves ambiguity (not clarity of goals), and incremental mutations (not big leaps).

KEY QUOTES

“What looks in hindsight like a brilliant strategy was often the residual result of opportunistic experimentation and “purposeful accidents.”

“Failure is our most important product.”
- R.W. Johnson Jr, J&J

Visionary companies more aggressively harness the power of evolution by trying out loads of stuff and keeping what works. This is in part possible because they **concurrently exercise ideological control and operational autonomy** – once their people fully understand and own the core ideals, they can be given freedom to experiment, adapt and act.

Such evolution is not by chance. 3M, for example, had a host of mechanisms to stimulate progress and purposeful evolution. These include a “15% rule” to encourage technical people to spend up to 15% of time on projects of their choice, “25% rule” to encourage each division to generate 25% of annual sales from new products and services in the last 5 years, and “own business opportunities” for 3Mers to run successful new products as their own projects or departments.

The authors identified **some practical lessons to stimulate evolutionary progress**:

-  Stay in motion: fix, try, adjust, move, act. Keep trying and moving
-  Accept that mistakes will be made
-  Take small steps
-  Give people the room they need
-  Build mechanisms that sustain the stimulating environment
-  Remember to preserve the core

4. Home-Grown Management



Myth debunked: You do not need to hire outsider CEOs to stimulate fundamental change. Most CEOs of visionary companies are home-grown – fresh ideas and change can come from the inside.

Collins & Poros found that in 1700 years of combined history of visionary companies, that there were only 4 cases of an outsider being brought in for the role of CEO.

KEY QUOTES

“Like the genetic code in the natural world, which remains fixed while species vary and evolve, core ideology in a visionary company remains unchanged throughout all its mutations.”

“To have a Welch-caliber CEO is impressive. To have a century of Welch-caliber CEOs all grown from inside – well, that is one key reason why GE is a visionary company.”

Visionary companies were 6 times more likely to promote insiders to chief executives than comparison companies. Promotion from within preserves the core and provides continuity of leadership (besides quality).



It may be harder for small and medium sized enterprises to select a CEO from within the company, but the companies can start developing its people and planning for succession early in the game. If you have to look outside for a top manager, then look for candidates who share the core ideology and core values at the deepest level.

5. Good Enough Never Is



Myth debunked: Visionary companies do not focus mainly on beating the competition. They focus on beating themselves; in so doing, they inevitably beat their competition.

 In visionary companies, continuous improvement is not just a program or process improvement. It is an institutionalized habit, a way of life; it means doing everything possible to make the company better tomorrow than it is today. The cycle of self-initiated improvement is never-ending, and the company never is “good enough”.

 It can be easy to get complacent once you become the market leader. To combat complacency, visionary companies embed mechanisms to create discomfort, and instill a ruthless self-discipline. For example, P&G pits its brands against one another to generate internal competition;

KEY QUOTES

“All individual leaders eventually die. But a visionary company can tick along for centuries, pursuing its purpose and expressing its core values long beyond the tenure of any individual leader.”

“Comfort is not the objective of a visionary company. Indeed, visionary companies install powerful mechanisms to create discomfort – to obliterate complacency – and hereby stimulate change and improvement before the external world demands it.”

“Creating a visionary company requires huge quantities of good old-fashioned hard work, dedicated to improvement, and continually building for the future. There are no shortcuts. There are no magic potions. There are no work-arounds.”

Nordstrom ranks Nordies on their Sales Per Hour (SPH) and links customer feedback to employee compensation; Boeing uses “eyes of the enemy”, a planning process that involves managers developing counter-strategies as if they worked for Boeing’s competitors.



Visionary companies put in much more long-term investment, including investment in human capital, compared to the comparison companies. They are also more likely to be early adopters. They simultaneously build for the future, while ensuring high short-term standards.

The End at the Beginning



Myth debunked: Companies do not become visionary through “vision statements”. Creating a vision statement is only one small step in the never-ending process of expressing their core ideology.

The essence of a visionary company comes in how it translates its core ideology and its drive for progress into every aspect of the company, including goals, strategies, policies, processes, organizational design, cultural practice, job design etc.

After a detailed review of what Ford, Merck and HP did to align their entire organizations, the authors listed several guideposts to help us achieve the same:



Paint the whole picture: Comprehensiveness and consistency over time are key. Signals and actions need to be reinforced everywhere, all the time, to reinforce the core ideology and stimulate progress.



Sweat the small stuff: People function in the day-to-day, nitty-gritty details of the company or business. All cues – big and small – are picked up by people and shape their belief of the big vision.



Cluster, don’t shotgun: The mechanisms or processes should not be random pieces. Rather, they should reinforce each other, and be clustered together to deliver a powerful synergistic punch.

KEY QUOTES

“A visionary company is like a great work of art... it’s the entire work – all the pieces working together to create an overall effect – that leads to enduring greatness.”

“Attaining alignment is not just a process of adding new things; it is also a never-ending process of identifying and doggedly correcting misalignments that push a company away from its core ideology or impede progress.”



Swim in your own current, even if you swim against the tide: Focus first on the alignment with your own internal compass, which will then guide your dealings with reality of your own. There are no universally “good” or “bad” practices; there are only practices that are fits or misfits with your company.



Obliterate misalignments: The only thing that must be preserved is the core ideology; everything else that are not aligned can be changed or eliminated.



Keep the universal requirements while inventing new methods: There are 3 universal/ timeless requirements to anchor: (i) Have a core ideology, (ii) have an unrelenting drive for progress, and (iii) Be well-designed to preserve these two elements. However, the specific methods used to achieve these 3 elements may change over time.

Building the Vision



= the enduring characteristics of an organization, or its self-identity

=



Core Values

+



Core Purpose

(The organization's essential & enduring tenets, a small set of timeless guiding principles that hold intrinsic value to those inside the organization)

(The organization's fundamental reason for being)

IF forced to choose, the core purpose should be prioritised over the core values.



= both concrete & vivid, dreamy & unrealized

A vision-level BHAG can focus on 4 categories - target, common enemy, role model, or internal transformation.

Use vivid descriptions that are vibrant, engaging, and with specific descriptions of what it will be like to achieve the BHAG.

The End at the Beginning



For those who are particular about research methodology, Collins & Porras elaborate on how they selected their choice of companies and their approach (e.g. how they defined and selected “comparison companies”) in the preface and research appendices (especially Appendix 1 on research issues).

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Some other details include:

- Core ideologies in the visionary companies
- A list of the Visionary Companies' Core and BHAGs
- A list of mechanisms used to stimulate progress at 3M
- Detailed case studies of how Ford, Merck and Hewlett-Packard created alignment
- The founding roots of all the visionary and comparison companies mentioned in the book
- A list of Frequently Asked Questions

KEY QUOTES